Revenue Projections — AI-Enhanced Client Services Business Unit

Three-year revenue view based on the original "**Flytics**" business case

How to read this document

These projections are revenue estimates only. They extend the original conservative business case into a three-year model that includes AI-enabled premium analytics, recurring monitoring subscriptions, and value-added reporting services. Costs, gross margin, and capital requirements should be modeled separately.

1. Baseline from the Original Business Case

The original system request cited conservative tangible annual value of $357,500 from new pilot contracts and drone leases and $565,000 from drone flight services and data analysis, for a combined baseline of $922,500.

Revenue stream	Year 1 baseline
New pilot contracts and drone leases	$357,500
Drone flight services and data analysis	$565,000
Total original business case	$922,500

2. Projection Method

The target scenario assumes the business launches with the original baseline revenue streams and adds AI-driven offers that expand average deal value and repeat business. The model separates revenue into five streams so each can be validated later with market data.

Revenue stream	Year 1 assumption	Growth logic
New pilot contracts and drone leases	$357,500	12% growth in Year 2; 10% in Year 3 as the pilot network expands
Drone flight service and data analysis	$565,000	18% growth in Year 2; 16% in Year 3 from demand growth and better conversion
AI analytics premium services	$84,750	15% attachment against service revenue in Year 1, expanding with adoption
Recurring monitoring subscriptions	$72,000	Initial recurring clients with strong expansion in Years 2 and 3
Priority turnaround and custom reporting	$24,000	Small Year 1 add-on revenue with steady attachment growth

3. Target Three-Year Revenue Projection

Revenue stream	Year 1	Year 2	Year 3
New pilot contracts and drone leases	$357,500	$400,400	$440,440
Drone flight service and data analysis	$565,000	$666,700	$773,372

AI analytics premium services	$84,750	$118,650	$160,178
Recurring monitoring subscriptions	$72,000	$115,200	$167,040
Priority turnaround and custom reporting	$24,000	$32,400	$40,500
Total projected revenue	$1,103,250	$1,333,350	$1,581,530

4. Scenario Comparison

The tables below show a conservative case, target case, and upside case. The target case is intended as the planning view for the enhanced platform.

Scenario	Year 1	Year 2	Year 3	2-year CAGR
Conservative	$998,750	$1,127,200	$1,255,482	12.1%
Target	$1,103,250	$1,333,350	$1,581,530	19.7%
Upside	$1,161,500	$1,490,000	$1,879,865	27.2%

5. Revenue Mix in the Target Case

Revenue stream	Year 1 mix	Year 3 mix	Comment
New pilot contracts and drone leases	32.4%	27.8%	Important network-building revenue that supports marketplace capacity
Drone flight service and data analysis	51.2%	48.9%	Core revenue base and primary demand engine
AI analytics premium services	7.7%	10.1%	Highest-margin differentiator once adoption grows
Recurring monitoring subscriptions	6.5%	10.6%	Stabilizes revenue through repeat service commitments
Priority turnaround and custom reporting	2.2%	2.6%	Smaller add-on revenue that improves average order value

6. Key Takeaways

- The original business case supports a Year 1 base of $922,500 before AI-specific upsell and recurring offers are included.
- In the target case, total revenue rises to $1,103,250 in Year 1, $1,333,350 in Year 2, and $1,581,530 in Year 3.
- The largest expansion opportunity is not flight volume alone; it is the combination of premium analytics, subscriptions, and operational improvements that support higher attachment and repeat business.
- Recurring monitoring contracts and AI analytics become increasingly important by Year 3, improving predictability and strategic differentiation.

7. Sensitivities and Next Validation Steps

Key sensitivities	Pilot network capacity, local demand density, average contract value, AI premium attachment rate, subscription retention, turnaround expectations, and competitive pricing
Validation needed	Customer interviews, regional demand sizing, historical pilot utilization, pricing tests, and a margin model for flight services versus analytics